NVDA - NVIDIA Corporation

Full investment research | Model assumptions and source evidence

Framework 8.0 · Research/model update: 11 October 2026 · Earnings anchors retained: 6 September 2026

Status: Integrated original research and approved earnings model; evidence qualifications remain active.

Classification: MEGA-CAP COMPUTE PLATFORM - accelerated compute, networking and software ecosystem

Portfolio Excel Base: 82/100. Analytical recommendation: **82/100 (49/60)**, advisory only.

Active Q4 2027 price target: USD 455.01 per share. The separate Q1 2028 target is USD 498.80; both endpoints now include the October 11 operating-input revision, without a horizon roll. Financial amounts: USD billions unless stated otherwise. price targets: USD per share.

The price target is one conditional operating case. The October 11 incremental revenue branch is probability-weighted once. The existing model is not discounted again, and no further probability factor multiplies operating profit or the price target. Portfolio Base and the analytical category score are distinct; the latter does not overwrite the former.

October 11 accelerator forecast update: a small residual after overlap

The October 9 BofA Q3 Cloud Capex Preview projects calendar 2027/2028 NVIDIA accelerator revenue of $515.0B/$721.1B. It is an analyst forecast, not reported sales or company guidance. Its expanded capex tracker includes newly added neoclouds and leases; the spending headline is not converted directly into NVIDIA revenue. The table's accelerator scope is narrower and less clearly defined than this artifact's GPU/system residual, so an invoice-boundary reserve is necessary.

Calendar year	Existing GPU/system reference	BofA accelerator forecast	Conditional eligible residual at 50%	Weighted revenue increment at 25%
2027	461.666667	515.000000	26.666667	6.666667
2028	683.633333	721.100000	18.733333	4.683333

All amounts are USD B. **ASTRA assumptions:** 25% joint probability of incremental demand, supply and commercial execution (sensitivity 15-35%); only 50% of the residual is eligible after subtracting the entire existing product forecast (sensitivity 0-100%). The remaining half reserves scope, system content and invoice uncertainty. The weighted increment is probability × eligible fraction × positive residual. These are explicit judgments, not probabilities supplied by the bank. At fixed 50% eligibility, the probability range gives 2027 incremental revenue of $4.000-9.333B and 2028 $2.810-6.557B; zero eligibility gives zero, and full eligibility doubles the central increment. The 100% existing-revenue overlap is deducted before this calculation.

Fiscal years end in January: FY2028 runs approximately February 2027 through January 2028. The inherited displayed Q1 row contains November-January. Calendarization uses one third of Q1, all of Q2/Q3/Q4 and two thirds of the following Q1, assuming uniform months inside a fiscal quarter. That is a timing proxy, not a claim about actual monthly shipments. The 2027 increment is allocated only from February onward, retaining the current actual, next-quarter guide and the Q1 2027 trough row. Calendar 2028 uses all months. The $4.683333B annual increment is held flat in 2029 and 2030; no additional market-growth extrapolation is layered on. The final operating table ends in October 2030, so November-December 2030 lie beyond the existing row set.

Only GPU/system revenue changes. Networking, CPUs, gaming, other edge, share schedule and 20× operating-profit method remain fixed. Every added GPU dollar bears the existing product-specific cost of goods and existing quarterly opex ratio. Fiscal 2028 group revenue becomes $696.977001B, a small increase over the $690B reference; the conditional supply case is therefore a limited residual, not a replacement of the management-calibrated trajectory. It still needs memory, packaging, power and customer acceptance to arrive together. No second increment is attributed to HBM, optical components or total cloud capex.

The incremental calendar cost bridge is: CY2027 revenue +$6.666667B, cost of goods +$1.655266B, gross profit +$5.011401B, opex +$0.549362B and operating profit +$4.462038B. CY2028 revenue +$4.683333B, cost of goods +$1.130353B, gross profit +$3.552980B, opex +$0.372137B and operating profit +$3.180843B. This uses the same within-quarter month proxy as the revenue bridge; it is a modeled cost transmission, not issuer guidance.

Active Q4 2027 target: $451.736463 → $455.008436, **+0.7243%**. Excel Base 82 and analytical Base 82 are unchanged. The model already reflects the probability-weighted revenue; applying another probability factor to the target would count it twice. Costs, supply execution and invoice comparability remain the material unresolved assumptions.

BofA GLOBAL RESEARCH

Exhibit 13: We expect NVDA to generally maintain ~70%+ AI accelerator share over time
AI accelerator (GPU/ASIC/XPU) potential sales power by vendor

AI Accelerator Sales Power	2024	2025	2026E	2027E	2028E	2029E	2030E
Nvidia ($bn)	$102.2	$162.4	$298.9	$515.0	$721.1	$894.2	$1,001.5
YoY		59%	84%	72%	40%	24%	12%
Implied Share	85%	82%	78%	75%	72%	71%	69%
AMD ($bn)	$5.0	$6.6	$14.5	$40.6	$64.2	$84.3	$102.3
YoY		34%	118%	180%	58%	31%	21%
Implied Share	4%	3%	4%	6%	6%	7%	7%
Broadcom ($bn)	$9.3	$16.2	$49.8	$102.6	$187.3	$224.8	$251.8
YoY		75%	208%	106%	83%	20%	12%
Implied Share	8%	8%	13%	15%	19%	18%	17%
Marvell ($bn)	$0.7	$1.3	$1.7	$3.0	$6.8	$11.3	$15.1
YoY		87%	25%	82%	128%	65%	34%
Implied Share	1%	1%	0%	0%	1%	1%	1%
Others/TBD ($bn)	$3.1	$12.3	$17.6	$25.7	$29.0	$52.4	$89.9
YoY		296%	43%	46%	13%	81%	72%
Implied Share	3%	6%	5%	4%	3%	4%	6%
Total Market ($bn)	$120.2	$198.8	$382.4	$686.9	$1,008.5	$1,266.9	$1,460.5
YoY		65%	92%	80%	47%	26%	15%

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

BofA October 9, 2026, page 11. Analyst accelerator forecasts by company in calendar years, USD B; submitted original source image.

Source: owner-supplied BofA - Q3 Cloud Capex Preview - October 9, 2026, pp. 10-11. The report's page 10 prose and table contain inconsistent industry totals; only the identified table values are used here. Full original SHA-256: 67cba01b2d792695623b67cd70427e743e7dc5665b18d8aa901a4da5d6a9462c. No analyst price target or valuation multiple was imported.

Optical efficiency: the delivered system sets the economics

Optical-link efficiency depends on the complete light-delivery path. The NVIDIA/Lumentum 2026 ECTC paper studies a nine-wavelength DFB array with a dedicated SOA for each channel, common optical packaging and one thermoelectric cooler. Shared alignment can reduce assembly steps, but wavelength uniformity, device variation and rejection of an entire array can offset the saving. The prototype's reported 7.2% laser-module efficiency is a measured engineering point, not a qualified product-cost target. The paper models approximately 9-10% module efficiency as sufficient for particular energy budgets. That denominator includes passive/coupling losses and excludes TEC in the modeled subsection; it is not a universal bare-laser wall-plug-efficiency requirement. [IA 08 images 024-030, 032-033; P 01/P 02]

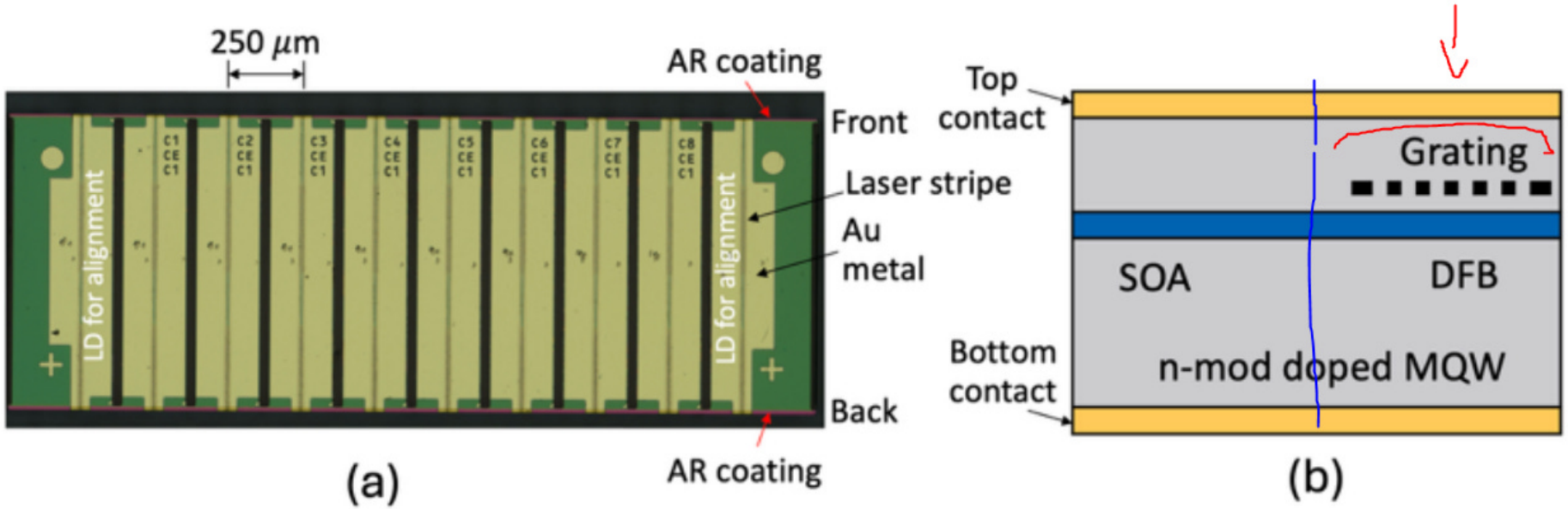
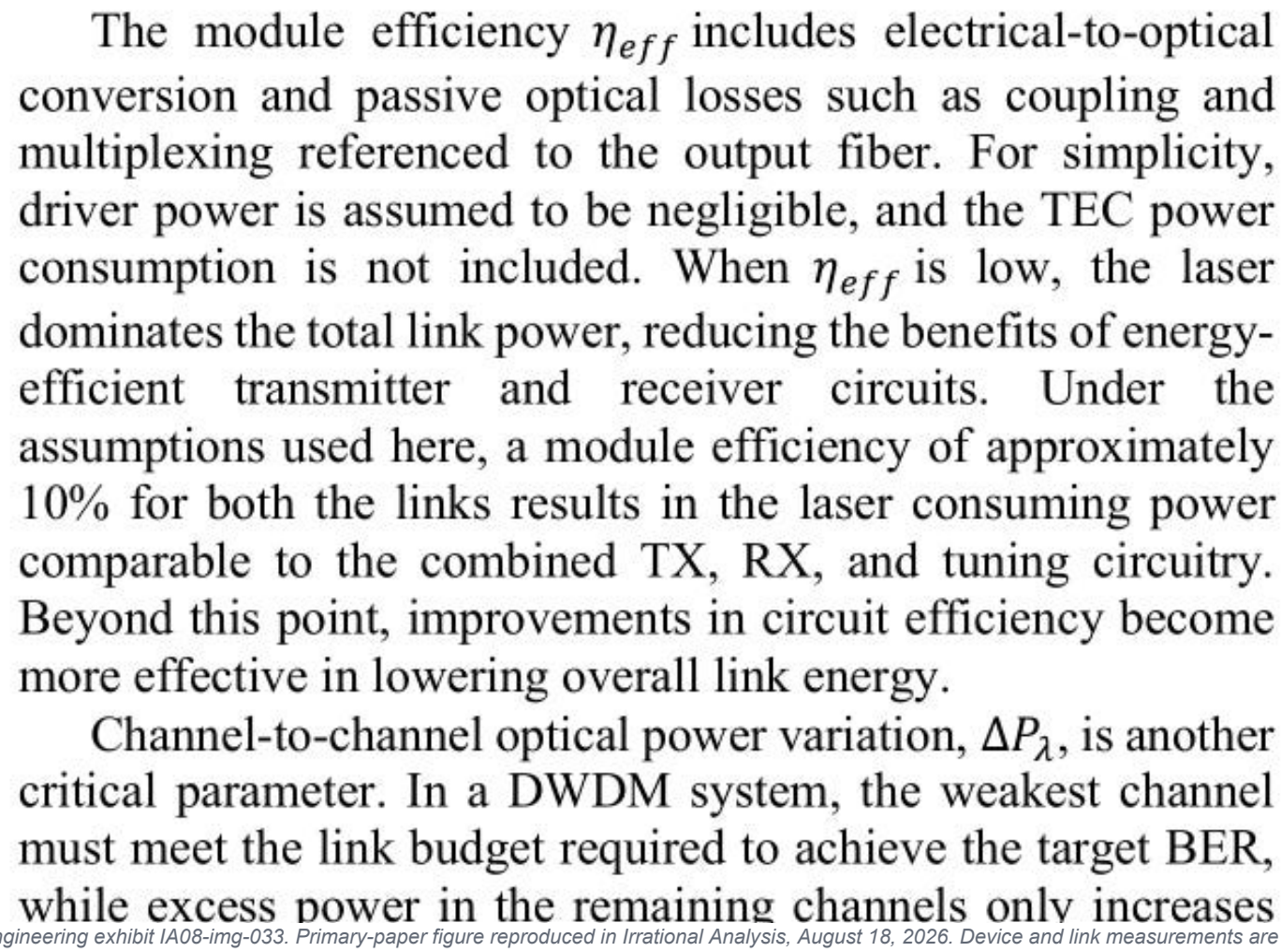


Figure 3: (a) Top view of DFB-array test-chip (b) Cross-section of the laser array.

Engineering exhibit IA08-img-025. Primary-paper figure reproduced in Irrational Analysis, August 18, 2026. Device and link measurements are distinct from production yield and commercial qualification.

The same design illustrates why high optical power alone does not establish a usable link. Its measured RIN motivates additional noise reduction for particular 32 Gb/s-per-wavelength DWDM configurations. Per-channel amplification differs from passing multiple modulated wavelengths through one shared SOA. The relevant acceptance set is delivered power, wavelength error, RIN over a stated bandwidth, all-lane BER/timing margin and temperature-dependent cooling cost. NVIDIA's separate ISSCC demonstration of 0.47 UI at BER 1e-12 with all lanes active is a useful example of a system-level timing test. Neither study supplies commercial yields or a matched ranking of all suppliers. [IA 08 images 012, 029-030, 032-036; P 01/P 03]


The module efficiency η_{eff} includes electrical-to-optical conversion and passive optical losses such as coupling and multiplexing referenced to the output fiber. For simplicity, driver power is assumed to be negligible, and the TEC power consumption is not included. When η_{eff} is low, the laser dominates the total link power, reducing the benefits of energy-efficient transmitter and receiver circuits. Under the assumptions used here, a module efficiency of approximately 10% for both the links results in the laser consuming power comparable to the combined TX, RX, and tuning circuitry. Beyond this point, improvements in circuit efficiency become more effective in lowering overall link energy.

Channel-to-channel optical power variation, ΔP_{λ}, is another critical parameter. In a DWDM system, the weakest channel must meet the link budget required to achieve the target BER, while excess power in the remaining channels only increases

Engineering exhibit IA08-img-033. Primary-paper figure reproduced in Irrational Analysis, August 18, 2026. Device and link measurements are distinct from production yield and commercial qualification. Original exhibit, panel 1 of 2; read from top to bottom.

energy consumption. Figure 7(a) evaluates a worst-case condition where one channel operates at the minimum required power P_λ, while the remaining channels operate at $P_\lambda + \Delta P_\lambda$. The results show that maintaining ΔP_λ below approximately 1.6 dB prevents the laser from dominating the total link energy when the module efficiency is about 15%.

Finally, channel spacing (CS) accuracy also affects system performance. Errors in CS increase optical crosstalk between neighboring wavelengths and degrade BER. Statistical link simulations indicate that keeping the CS error within ~5% maintains negligible crosstalk. For a nominal spacing of 200 GHz, this corresponds to controlling wavelength placement within approximately ±10 GHz. As shown in Fig. 7(b) correcting for a 10% error in CS inside SiPh PIC will not contribute significantly (~0.016 pJ/b) to the overall link energy efficiency.

Engineering exhibit IA08-img-033. Primary-paper figure reproduced in Irrational Analysis, August 18, 2026. Device and link measurements are distinct from production yield and commercial qualification. Original exhibit, panel 2 of 2; read from top to bottom.

These measurements sharpen the existing physical-supply and input-cost risk. Scale-out CPO can replace a switch-side pluggable function, while optical scale-up can replace copper; the opportunities are related but have different component counts and timelines. NVIDIA's July 21 update says scale-out photonics switches are in volume manufacturing, which is incompatible with a universal claim that pluggables cannot be affected until 2029. The reference networking allocation is 20% of reference Data Center sales and GPU/systems is the residual. Optical modules, light sources and the same networking system are not an additional layer of NVIDIA revenue. Qualification, accepted systems and realized margins remain the financial tests. [P 12; existing NVDA sections 2, 4 and 7]

Model decision: no additional revenue, cost or operating-profit increment. The retained 20% networking allocation is part of Data Center revenue, not a probability; introducing a new probability discount on the whole company would change the sanctioned model. The papers refine supply and gross-margin risk without disclosing a new delivered system, realized price or cost distribution. The optical evidence itself adds no separate increment. The current active Q4 2027 price target, including the later October 11 accelerator branch, is **$455.01** (rounded), using the existing 20x forward operating-profit method and 24.285B diluted-share proxy. The separate Q1 2028 target and sensitivity retain their labeled period; neither replaces the active horizon. Analytical Base 82 and Excel Base 82 are unchanged.

Sources and limits, reviewed October 6, 2026: Irrational Analysis, August 18, full saved body and technical figures reviewed. P01: Design and Packaging of a DWDM CW-DFB Laser Array for Co-Integrated Optical Interconnects (2026-05-26 conference; IEEE added 2026-06-17). P02: NVIDIA research record of the DWDM laser-array paper (2026-05-26). P03: 32 Gb/s/lambda 256 Gb/s/fiber half-rate bandpass-filtered clock-forwarding DWDM optical link (2026-02-15). P12: NVIDIA Vera Rubin platform update (2026-07-21). Detailed paper figures were inspected in the user-supplied reproductions; full IEEE texts were not independently recovered. That access limitation is preserved rather than presented as a replicated experiment.

Groq and GPUs can cooperate within an inference system

The March 5 engineering article argues that deterministic Groq execution forces Groq into isolated clusters and rules out useful GPU collaboration. NVIDIA's later disclosures contradict that categorical conclusion. Its March 16 architecture discussion separates GPU attention and KV storage from LPX feed-forward work. Its August 24 follow-up describes several ways to pair the two, including a prefill/decode handoff, attention/feed-forward separation and speculative decoding. Communication overhead still matters; it does not make every cooperative configuration impossible. NVIDIA architecture discussion; NVIDIA August technical update.

GPU + LPX: partition work across the system

Illustrative attention / FFN mode from NVIDIA disclosures; other serving modes also exist



Architecture compatibility is established; qualified volumes, prices and margins remain separate questions.

Analytical schematic, October 6, 2026. Sources: NVIDIA technical blogs, March 16 and August 24, 2026.

Analytical schematic of one GPU/LPX serving mode, based on NVIDIA primary disclosures. It is not a shipment or performance forecast.

This matters to the investment case because a specialized low-latency processor can become a component of NVIDIA's system offering. It does not establish that SRAM eliminates the need for HBM, that all inference should use LPX, or that a vendor benchmark is a revenue forecast. The economic tests are accepted systems, useful work per unit of power and cost, net selling price and incremental support expense.

Probability and model treatment: assign a 70% research probability that GPU/LPX cooperation contributes commercially meaningful differentiated inference deployments during 2027. For a bounded overlap check only, attribute 1-2% of the existing calendar-labelled 2027 GPU/system pool of $425.2B to such configurations. That is $4.252-8.504B conditional, or $2.9764-5.9528B at the stated probability. This is wholly inside the current system/inference forecast; the overlap adjustment is 100%, leaving **zero additional revenue or OP**. The diagnostic is not a new active product input. The current residual product gross margins already incorporate components and manufacturing costs; packaging, memory, interconnect, depreciation, software support, R&D and stock compensation cannot be omitted to manufacture an extra profit stream. Separate LPX units, prices and costs are not disclosed sufficiently to support a new increment.

The existing 20× forward operating-profit method, 24.285B share proxy, analytical Base 82 and Excel Base 82 remain unchanged. Active Q4 2027 target after the separate October 11 accelerator branch is **$455.008436**. The correction removes an unsupported technical exclusion without counting a second sale for the same system. Next tests are deployment mix, customer acceptance and realized costs, not token-speed claims alone.

1. Thesis, products and competitive position

MACRO TRACKING INSTRUMENT / CAPACITY ENABLER. NVIDIA connects accelerated compute, networking, CPUs and software. It is a useful demand indicator for the wider portfolio, while its customers can also develop competing accelerators. Ecosystem reach supports the score; broad market awareness leaves little information alpha.

Platform demand and the production stack

NVIDIA combines accelerated processors, networking, CPUs, systems and software. Software tools and the installed developer ecosystem support customer adoption, while system integration and interconnect performance influence the amount of useful compute a customer obtains. The five product vectors preserve those economic distinctions instead of treating all AI spending as GPU revenue.

The original research uses power capacity and revenue per gigawatt as a physical reasonableness check. That relationship depends on system generation, configuration, networking content and delivery timing; third-party gigawatt estimates are not company revenue guidance. Installed power also need not equal commissioned, fully utilized compute in the same quarter.

Scale and dependencies

NVIDIA's scale and financial strength support the current Excel and analytical Base of 82. Its suppliers still constrain shipment timing: foundry output, HBM, advanced packaging, networking, power and cooling all have to align. A memory price increase can be passed through, absorbed or reflected in system mix; the outcome must be reconciled to gross profit rather than inferred from revenue alone.

Customer-designed accelerators are a competitive risk, with performance, software portability, workload economics and deployment capability determining substitution. Customer concentration and financial support arrangements also matter when evaluating whether demand represents durable, cash-generating deployment. The analytical score below measures the framework categories; it is recorded separately from the Excel Base.

Fiscal labels are especially important here. The approved workbook convention maps fiscal periods to its displayed quarter labels; the exact economic window is described below. The artifact uses the same 15 price target endpoints as the master, ending at Q1 2030.

Research provenance: the product and competitive analysis in this section synthesizes the supplied original research. Dated market-share, process and channel claims retain their original evidence status; this integration is not a new independent verification of those claims. Current earnings and model assumptions are set out below.

2. Earnings, guidance and operating assumptions

Latest earnings and two-call comparison

FQ2FY27 revenue is$96.221B, GP$72.142B, GAAP opex$8.408B and OP$63.734B. Diluted weighted-average shares are 24.285B. FQ3 guidance centers on$108B revenue, 74%GM and$9.2B GAAP opex. These exact aggregate anchors replace rounded estimates. NVIDIA now includes stock compensation in its non-GAAP presentation too; this review uses GAAP actual OP. Source: NVDA-1.

The August transcript verifies about 70% fiscal 2028 growth constrained by supply, a 71-72%GM trough in FQ4 and 72-73% in FY28, with CPU revenue expected to more than double. May provided the preceding standalone CPU and Rubin rollout discussion. Product quarterly sales and margins are not disclosed forecasts. Sources: NVDA-3,4.

Revenue decomposition and calendar discipline

Current reported Data Center revenue is$89.023B and Edge$7.198B. The CFO presentation recasts an ACIE customer into Hyperscale; unadjusted comparisons to the prior presentation would misstate segment growth. Source: NVDA-2.

The current product split is analytical: networking$17.7B, CPU$4B and GPU/systems residual$67.323B inside Data Center; gaming$5B and other edge$2.198B. The networking proxy uses the rounded May networking scale and August sequential growth. Gaming, CPU and product GM are estimates even in the actual aggregate quarter.

Forward networking retains 20% of reference DC sales. The incremental GPU branch does not automatically add networking revenue. CPU is$6B in FQ3 and$8B in FQ4; fiscal 2028 totals$40.5B. These are allocations inside group revenue, not additive revenue on top of it. GPU/systems is the residual, incorporating attached product content so that rack components are not counted twice.

The reference case was fiscal 2028 revenue $690B, approximately 70% above modeled fiscal 2027. The October 11 residual branch increases fiscal 2028 to $696.977001B; fiscal 2029 and 2030 become $1005.763277B and $1260.683333B. These increments and later years are analyst assumptions, not revised management guidance. The original fiscal 2031 $1,408B reference extends beyond the final operating row here. Quarterly seasonality is also an assumption. Fiscal 2029 and later are not management guidance. Fiscal labels in the workbook define the actual earnings windows.

Product gross profit and operating costs

The five revenue vectors carry distinct margins. The GPU/systems margin is calibrated as residual group GP after the other products, not a disclosed GPU margin. Current GP reproduces the actual. The guided next quarter uses 74%; FQ4 uses 71.5%; the reference fiscal 2028 aggregate used 72.5%, within the stated band. Incremental GPU revenue retains each original product margin, so the updated group margin changes slightly with mix. Later aggregate margin targets remain model estimates around 73.3-74.1%, implemented through the product-margin solve.

Q3FY27 GAAP opex is$9.2B. Later opex retains the existing revenue ratios, roughly 8.55% declining toward 7.58%; incremental sales therefore carry incremental expense; that operating leverage is unverified and must be checked against compute infrastructure and compensation spending. No equity investment gains, financing receipts or take-or-pay guarantees are counted in OP.

TAM and industry read-through

Management's roughly$40B NVIDIA content per GW is a platform-content reference, not a separate GPU, CPU and networking TAM to add three times. The updated $696.977001B fiscal 2028 group case implies approximately 17.42GW at that content rate as a rough diagnostic; product mix and edge revenue make it an approximation, not a proven installed-capacity schedule. Source: NVDA-3.

Memory inflation supports supplier pricing while reducing the buyer's gross margin. The August NVHBM announcement integrates a custom controller in the HBM base die and describes implementation through multiple memory suppliers. This strengthens the need to track qualification and content by supplier; it does not establish one memory company's exclusive share or long-term contract prices. Source: NVDA-6.

A new September 3 agreement to acquire Hugging Face for$12.9303B broadens ecosystem exposure. NVIDIA says the platform will remain open to other clouds and accelerators. Undisclosed acquired earnings, financing structure and synergies receive no separate model credit. Source: NVDA-5.

Capital return and optical supply evidence

On September 28 NVIDIA authorized an additional USD 150B of repurchases, taking remaining authorization to USD 235B, with execution expected through fiscal 2028. Authorization is not completed repurchasing. The existing 24.285B diluted-share proxy remains explicit: execution prices, quarterly pacing and offsetting employee/acquisition issuance are not established by this announcement. No cash authorization is added to operating profit or equity value. [NVDA-8]

Serenity's September 29 digest relays a Barclays channel check that NVIDIA has secured about half of Lumentum's Greensboro laser capacity. The underlying note and original post date/link were not supplied. Treat that allocation as an attributed check. It reinforces supply-security and concentration monitoring; it does not establish incremental NVIDIA shipments, an exclusive supply agreement or a USD 5B purchase order.

3. Analytical score

The category arithmetic gives **49/60 = 82/100** after the existing -3-point risk deduction. The portfolio Excel Base remains **82/100**. Risk-class detail appears in section 7.

Category	Points	Maximum	Basis
Core thesis	18	20	CUDA and integrated systems create a durable ecosystem; custom silicon and customer concentration limit exclusivity.
Cycle stage	10	10	Latest reported growth and supply-supported expansion remain strong.
TAM expansion	10	10	Agentic workloads, standalone CPUs and wider enterprise deployment expand addressable demand.
Catalysts	5	5	Rubin ramp, CPU adoption and latest ecosystem agreements.
Macro	9	10	AI investment supports demand, but does not guarantee supplier share.
Alpha	0	5	Macro tracking instrument with little undiscovered information advantage.
Risks	-3	0	Custom silicon; supported-customer credit and concentration; physical supply and input-cost execution.

4. Product economics and quarterly operating model

Forecasts distinguish reported anchors from guidance and analyst assumptions. Where the model uses segment OP or an adjusted profit proxy rather than product GP less opex, the stated basis applies; do not treat those proxies as a newly disclosed GAAP decomposition.

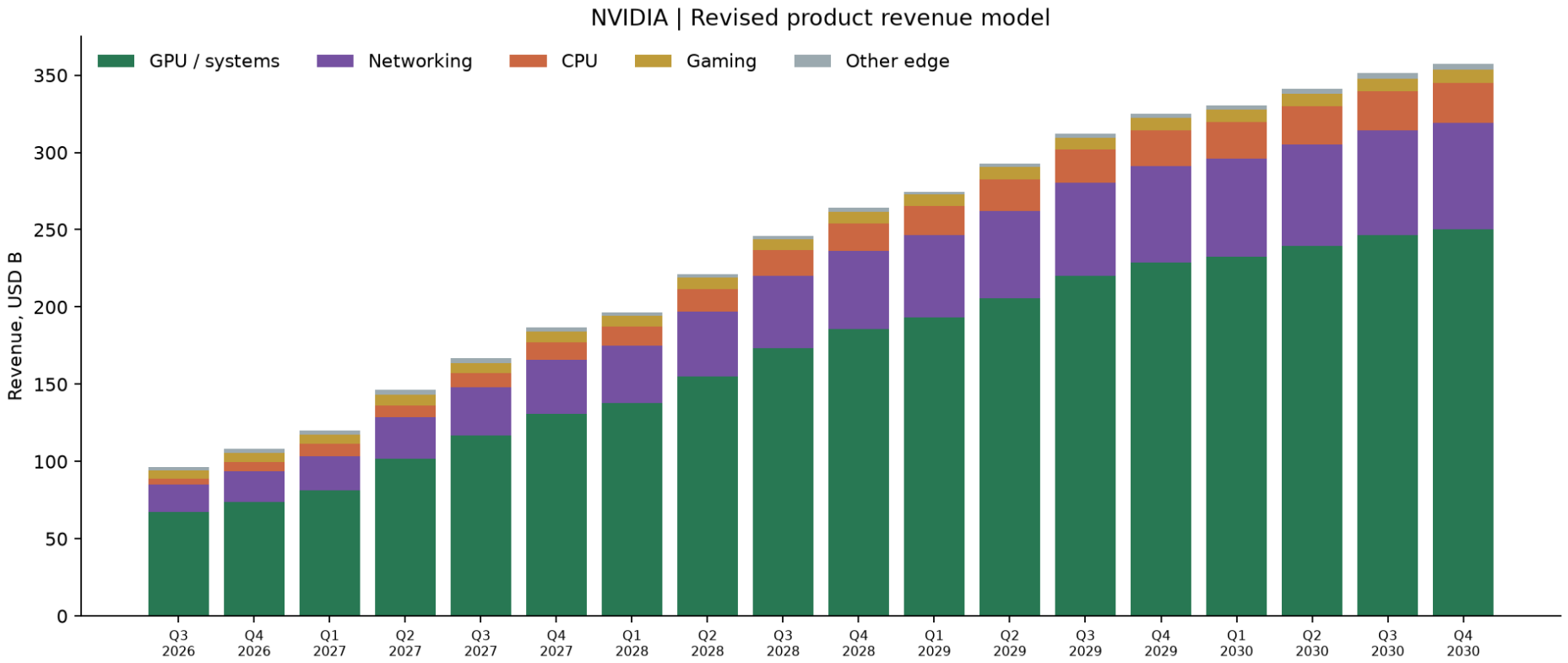
Vector evidence

Vector	Source / derivation	Confidence
DC GPU / systems	Residual after modeled networking and CPU inside total Data Center; margin solved to aggregate actual or target	LOW split; HIGH actual aggregate
DC networking	Q1 call roughly 15B and Q2 sequential growth 18% imply roughly 17.7B anchor; forward 20%DC mix is estimate	MEDIUM rounded anchor; LOW forecast
CPU	Q1 standalone opportunity and Q2 more-than-double FY28 direction; modeled 4/6/8B near-quarter allocation	LOW realized mix and timing
Gaming / other edge	Combined 7.198B exact current edge total; internal split and all product margins estimated	HIGH combined actual; LOW split

Product revenue build

Quarter	DC GPU / systems residual	DC networking	CPU	Gaming estimate	Other edge	Total
Q3 2026	67.32	17.70	4.00	5.00	2.20	96.22
Q4 2026	73.60	19.90	6.00	6.00	2.50	108.00
Q1 2027	81.20	22.30	8.00	6.00	2.50	120.00
Q2 2027	101.64	26.90	7.50	7.00	3.50	146.54
Q3 2027	116.66	31.10	9.50	6.50	3.00	166.76
Q4 2027	130.98	35.00	11.00	7.00	3.00	186.98
Q1 2028	137.60	37.10	12.50	7.00	2.50	196.70
Q2 2028	154.95	42.10	14.50	7.50	2.00	221.05
Q3 2028	173.08	47.10	16.50	7.00	2.50	246.18
Q4 2028	185.66	50.60	18.00	7.50	2.50	264.26
Q1 2029	193.47	52.80	19.00	7.50	1.50	274.27
Q2 2029	205.87	56.30	20.50	8.00	2.00	292.67
Q3 2029	219.97	60.20	22.00	7.50	2.50	312.17
Q4 2029	228.57	62.60	23.00	8.00	3.00	325.17
Q1 2030	232.47	63.70	23.50	8.00	3.00	330.67
Q2 2030	239.47	65.70	24.50	8.50	3.00	341.17
Q3 2030	246.47	67.70	25.50	8.00	3.50	351.17
Q4 2030	250.37	68.80	26.00	8.50	3.50	357.17

Financial view 1. Revenue and mix



Existing NVDA revenue model and available product mix, USD B.

Source: staged October 11 NVDA_Q_Model. Future rows are Model / LOW forecast confidence. Product allocations are model estimates and not disclosed segment forecasts.

Quarter	GPU / systems	Networking	CPU	Gaming	Other	Total
Q3 2026	67.323	17.700	4.000	5.000	2.198	96.221
Q4 2026	73.600	19.900	6.000	6.000	2.500	108.000
Q1 2027	81.200	22.300	8.000	6.000	2.500	120.000
Q2 2027	101.636	26.900	7.500	7.000	3.500	146.536
Q3 2027	116.663	31.100	9.500	6.500	3.000	166.763

Quarter	GPU / systems	Networking	CPU	Gaming	Other	Total
Q4 2027	130.979	35.000	11.000	7.000	3.000	186.979
Q1 2028	137.600	37.100	12.500	7.000	2.500	196.700
Q2 2028	154.954	42.100	14.500	7.500	2.000	221.054
Q3 2028	173.078	47.100	16.500	7.000	2.500	246.178
Q4 2028	185.663	50.600	18.000	7.500	2.500	264.263
Q1 2029	193.468	52.800	19.000	7.500	1.500	274.268
Q2 2029	205.871	56.300	20.500	8.000	2.000	292.671
Q3 2029	219.971	60.200	22.000	7.500	2.500	312.171
Q4 2029	228.571	62.600	23.000	8.000	3.000	325.171
Q1 2030	232.471	63.700	23.500	8.000	3.000	330.671
Q2 2030	239.471	65.700	24.500	8.500	3.000	341.171
Q3 2030	246.471	67.700	25.500	8.000	3.500	351.171
Q4 2030	250.371	68.800	26.000	8.500	3.500	357.171

Calendar label	Retained fiscal label	Status
Q3 2026	FQ2 FY2027	Actual
Q4 2026	FQ3 FY2027	Model
Q1 2027	FQ4 FY2027	Model
Q2 2027	FQ1 FY2028	Model
Q3 2027	FQ2 FY2028	Model
Q4 2027	FQ3 FY2028	Model
Q1 2028	FQ4 FY2028	Model
Q2 2028	FQ1 FY2029	Model
Q3 2028	FQ2 FY2029	Model
Q4 2028	FQ3 FY2029	Model

Calendar label	Retained fiscal label	Status
Q1 2029	FQ4 FY2029	Model
Q2 2029	FQ1 FY2030	Model
Q3 2029	FQ2 FY2030	Model
Q4 2029	FQ3 FY2030	Model
Q1 2030	FQ4 FY2030	Model
Q2 2030	FQ1 FY2031	Model
Q3 2030	FQ2 FY2031	Model
Q4 2030	FQ3 FY2031	Model

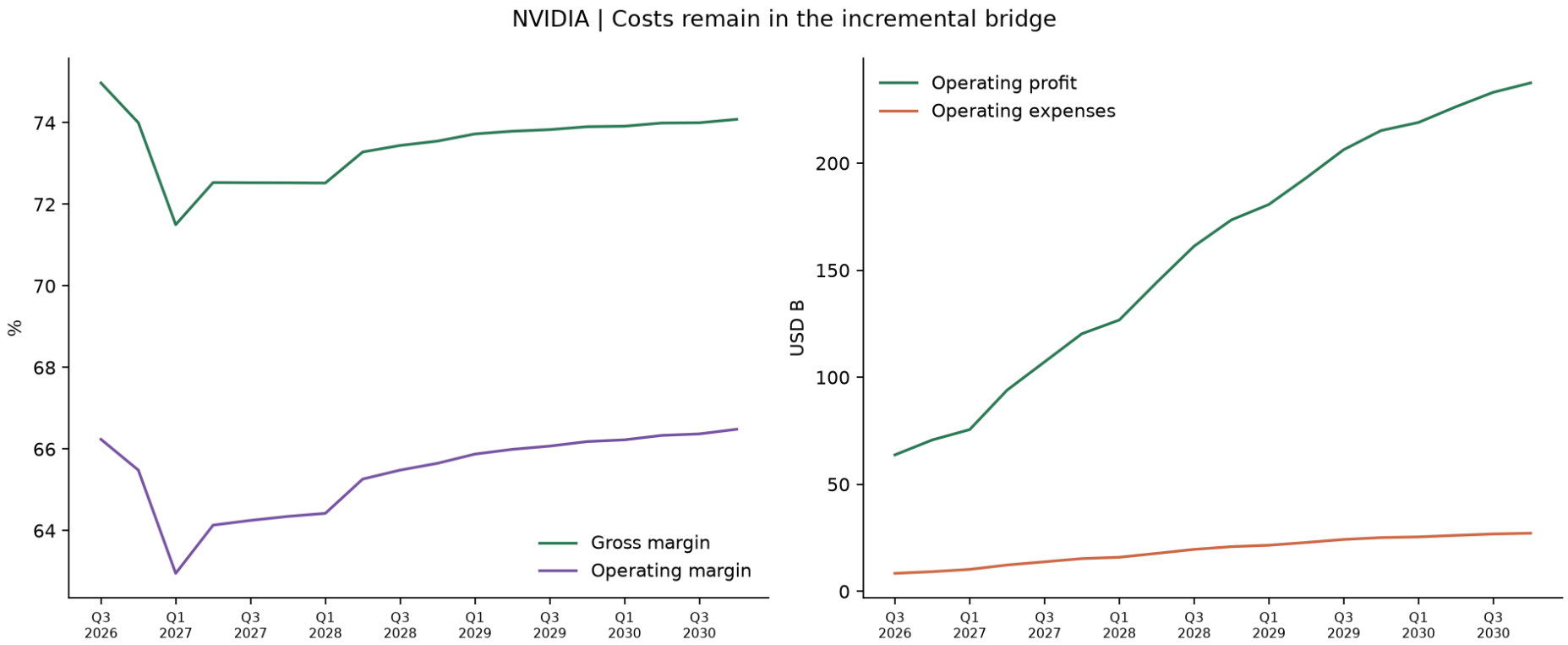
Product gross margins

Quarter	DC GPU / systems residual	DC networking	CPU	Gaming estimate	Other edge
Q3 2026	78.3%	72.0%	60.0%	60.0%	58.0%
Q4 2026	77.5%	71.6%	60.5%	59.8%	57.8%
Q1 2027	74.9%	69.0%	59.0%	57.5%	55.5%
Q2 2027	75.6%	70.0%	60.5%	58.5%	56.5%
Q3 2027	75.2%	70.3%	61.5%	59.0%	57.0%
Q4 2027	75.0%	70.4%	62.2%	59.2%	57.2%
Q1 2028	74.9%	70.5%	62.8%	59.4%	57.4%
Q2 2028	75.8%	70.6%	63.3%	59.6%	57.6%
Q3 2028	75.9%	70.7%	63.7%	59.8%	57.8%
Q4 2028	76.0%	70.8%	64.0%	60.0%	58.0%
Q1 2029	76.1%	70.9%	64.3%	60.1%	58.1%
Q2 2029	76.2%	71.0%	64.5%	60.2%	58.2%
Q3 2029	76.2%	71.0%	64.7%	60.3%	58.3%
Q4 2029	76.3%	71.1%	64.9%	60.4%	58.4%
Q1 2030	76.2%	71.1%	65.0%	60.5%	58.5%
Q2 2030	76.3%	71.2%	65.1%	60.6%	58.6%
Q3 2030	76.3%	71.2%	65.2%	60.7%	58.7%
Q4 2030	76.4%	71.3%	65.3%	60.8%	58.8%

Quarterly operating model

Quarter	Status	Revenue	Gross profit	Gross margin	Opex	Operating profit	OP margin	Forecast confidence
Q3 2026	Actual	96.22	72.14	75.0%	8.41	63.73	66.2%	Actual aggregate / estimated mix
Q4 2026	Model	108.00	79.92	74.0%	9.20	70.72	65.5%	Model / LOW
Q1 2027	Model	120.00	85.80	71.5%	10.26	75.54	62.9%	Model / LOW
Q2 2027	Model	146.54	106.29	72.5%	12.31	93.98	64.1%	Model / LOW
Q3 2027	Model	166.76	120.95	72.5%	13.81	107.14	64.2%	Model / LOW
Q4 2027	Model	186.98	135.61	72.5%	15.29	120.31	64.3%	Model / LOW
Q1 2028	Model	196.70	142.65	72.5%	15.93	126.72	64.4%	Model / LOW
Q2 2028	Model	221.05	161.99	73.3%	17.73	144.26	65.3%	Model / LOW
Q3 2028	Model	246.18	180.80	73.4%	19.60	161.20	65.5%	Model / LOW
Q4 2028	Model	264.26	194.36	73.5%	20.88	173.49	65.6%	Model / LOW
Q1 2029	Model	274.27	202.20	73.7%	21.53	180.67	65.9%	Model / LOW
Q2 2029	Model	292.67	215.96	73.8%	22.83	193.14	66.0%	Model / LOW
Q3 2029	Model	312.17	230.48	73.8%	24.22	206.25	66.1%	Model / LOW
Q4 2029	Model	325.17	240.31	73.9%	25.10	215.20	66.2%	Model / LOW
Q1 2030	Model	330.67	244.41	73.9%	25.43	218.98	66.2%	Model / LOW
Q2 2030	Model	341.17	252.44	74.0%	26.13	226.31	66.3%	Model / LOW
Q3 2030	Model	351.17	259.86	74.0%	26.79	233.07	66.4%	Model / LOW
Q4 2030	Model	357.17	264.60	74.1%	27.14	237.46	66.5%	Model / LOW

Financial view 2. Margins, costs and profit



Existing NVDA margins, operating profit and combined operating costs; monetary units USD B.

All future rows are Model / LOW forecast confidence. Total operating costs mean cost of goods plus operating expenses. Gross profit less the existing operating-cost deduction reconciles exactly to operating profit.

Quarter	Revenue	GP	Opex	OP	OPM	All costs
Q3 2026	96.221	72.142	8.408	63.734	66.24%	32.487
Q4 2026	108.000	79.920	9.200	70.720	65.48%	37.280
Q1 2027	120.000	85.800	10.260	75.540	62.95%	44.460
Q2 2027	146.536	106.286	12.309	93.977	64.13%	52.559
Q3 2027	166.763	120.950	13.808	107.142	64.25%	59.621

Quarter	Revenue	GP	Opex	OP	OPM	All costs
Q4 2027	186.979	135.610	15.295	120.315	64.35%	66.664
Q1 2028	196.700	142.648	15.933	126.716	64.42%	69.985
Q2 2028	221.054	161.992	17.729	144.263	65.26%	76.791
Q3 2028	246.178	180.796	19.596	161.201	65.48%	84.977
Q4 2028	264.263	194.362	20.877	173.485	65.65%	90.778
Q1 2029	274.268	202.202	21.530	180.672	65.87%	93.596
Q2 2029	292.671	215.964	22.828	193.136	65.99%	99.535
Q3 2029	312.171	230.476	24.224	206.251	66.07%	105.920
Q4 2029	325.171	240.306	25.103	215.203	66.18%	109.968
Q1 2030	330.671	244.412	25.429	218.983	66.22%	111.688
Q2 2030	341.171	252.440	26.134	226.307	66.33%	114.864
Q3 2030	351.171	259.862	26.794	233.068	66.37%	118.103
Q4 2030	357.171	264.601	27.145	237.456	66.48%	119.715

Annual model cross-check

Model year (quarter convention above)	Revenue	Operating profit	OP margin
2027	620.28	396.97	64.0%
2028	928.20	605.66	65.3%
2029	1,204.28	795.26	66.0%
2030	1,380.18	915.81	66.4%

5. Forward four-quarter operating price target

Fiscal year ends in late January. The approved quarter labels are used: Q3 2026 represents FQ2FY27, and Q1 2028 represents FQ4FY28. Thus its four-quarter price target window is FQ4FY28-FQ3FY29, not four exact Gregorian quarters. Each price target uses current plus next three fiscal quarters of OP×20 /24.285B diluted-share proxy; no additional valuation probability factor.

Quarter	Exact earnings window	Forward four-quarter basis	Multiple	Share denominator (B)	price target per share
Q3 2026	Q3 2026 → Q2 2027	303.97	20.00	24.285	250.34
Q4 2026	Q4 2026 → Q3 2027	347.38	20.00	24.285	286.09
Q1 2027	Q1 2027 → Q4 2027	396.97	20.00	24.285	326.93
Q2 2027	Q2 2027 → Q1 2028	448.15	20.00	24.285	369.07
Q3 2027	Q3 2027 → Q2 2028	498.44	20.00	24.285	410.49
Q4 2027	Q4 2027 → Q3 2028	552.49	20.00	24.285	455.01
Q1 2028	Q1 2028 → Q4 2028	605.66	20.00	24.285	498.80
Q2 2028	Q2 2028 → Q1 2029	659.62	20.00	24.285	543.23
Q3 2028	Q3 2028 → Q2 2029	708.49	20.00	24.285	583.48
Q4 2028	Q4 2028 → Q3 2029	753.54	20.00	24.285	620.58
Q1 2029	Q1 2029 → Q4 2029	795.26	20.00	24.285	654.94
Q2 2029	Q2 2029 → Q1 2030	833.57	20.00	24.285	686.49
Q3 2029	Q3 2029 → Q2 2030	866.74	20.00	24.285	713.81
Q4 2029	Q4 2029 → Q3 2030	893.56	20.00	24.285	735.89
Q1 2030	Q1 2030 → Q4 2030	915.81	20.00	24.285	754.22

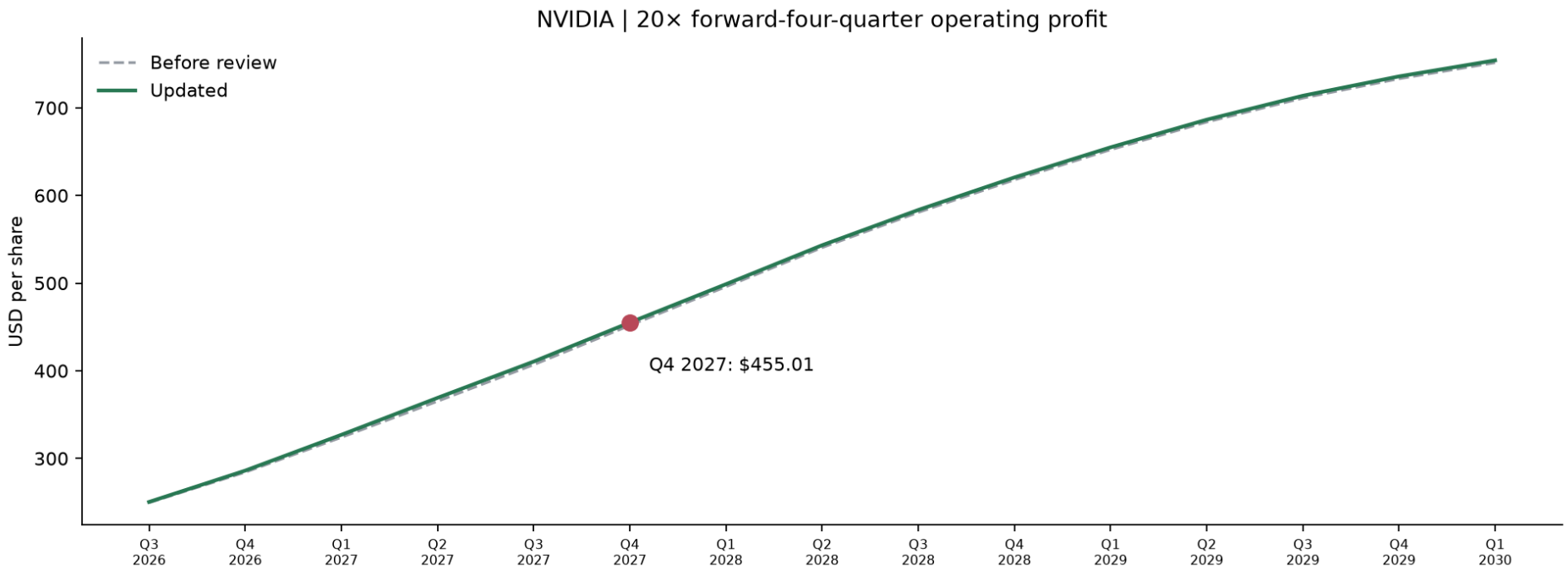
Mechanical share sensitivity

Holding the updated Q1 2028 operating case, attribution and currency assumptions fixed:

Economic denominator	USD price target per share
Approved denominator	498.80
5% more shares	475.04
10% more shares	453.45

This is a denominator sensitivity, not a second operating scenario or a forecast of issuance.

Financial view 3. Complete updated valuation path



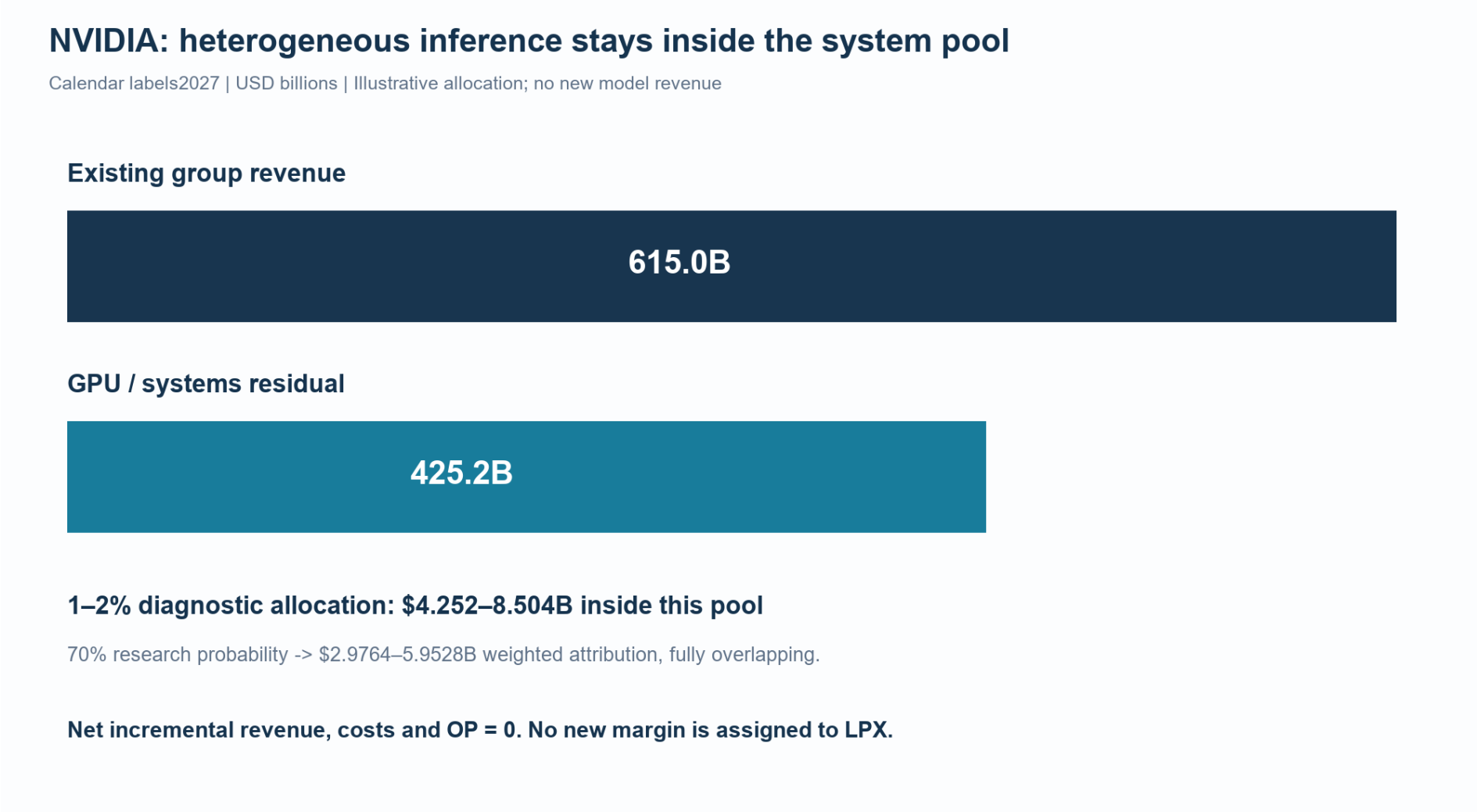
Existing NVDA forward-four-quarter targets; active Q4 2027 highlighted.

The active horizon is Q4 2027. The first quarter in each row plus the following three quarters forms the window. Shares are billions; profit is USD B. Multiple and share path are unchanged. Probability is applied once within the incremental revenue bridge, not again at valuation.

Quarter	Window end	4Q OP	Multiple	Shares	Target
Q3 2026	Q2 2027	303.971008	20	24.285000	250.336428
Q4 2026	Q3 2027	347.379031	20	24.285000	286.085263
Q1 2027	Q4 2027	396.973792	20	24.285000	326.929209
Q2 2027	Q1 2028	448.149313	20	24.285000	369.074995
Q3 2027	Q2 2028	498.435510	20	24.285000	410.488376
Q4 2027	Q3 2028	552.493993	20	24.285000	455.008436
Q1 2028	Q4 2028	605.664260	20	24.285000	498.797003

Quarter	Window end	4Q OP	Multiple	Shares	Target
Q2 2028	Q1 2029	659.620315	20	24.285000	543.232707
Q3 2028	Q2 2029	708.492977	20	24.285000	583.481965
Q4 2028	Q3 2029	753.543667	20	24.285000	620.583625
Q1 2029	Q4 2029	795.261216	20	24.285000	654.940264
Q2 2029	Q1 2030	833.572773	20	24.285000	686.491886
Q3 2029	Q2 2030	866.743492	20	24.285000	713.809752
Q4 2029	Q3 2030	893.560121	20	24.285000	735.894684
Q1 2030	Q4 2030	915.813354	20	24.285000	754.221415

Financial view 4. Historical LPX overlap diagnostic, before the October 11 update



NVIDIA existing GPU/system pool and bounded LPX allocation diagnostic, not a separate forecast.

This diagnostic retains the dated pre-October 11 reference ($425.2B in displayed 2027 fiscal buckets), not the updated calendar revenue. The 1-2% diagnostic is an explicit bounded research assumption, not guidance or a newly inserted product estimate. A 70% commercial-use probability gives $2.9764-5.9528B of weighted attribution inside the existing $425.2B pool. Applying 100% overlap leaves zero incremental revenue, cost or OP. Existing residual product margins, component costs and group opex remain unchanged; no invented LPX margin or vendor benchmark becomes profit.

Diagnostic input / result	Value	Scope
2027-labelled group revenue	615.000	USD B; existing model
GPU/system pool	425.200	USD B; existing residual
Conditional allocation	1-2%	Research diagnostic, not active input
Conditional revenue attribution	4.252-8.504	USD B, inside the pool
Commercial-use probability	70%	Research judgment
Weighted attribution	2.9764-5.9528	USD B, before overlap
Overlap	100%	Same existing system/inference pool
Incremental revenue / OP	0 / 0	USD B; no model change

6. Industry relationships and read-throughs

NVIDIA demand informs HBM, packaging, optical interconnect, power equipment and system integrators. Translate platform orders into supplier-specific content and recognition dates. More NVIDIA system revenue does not establish the same growth rate for every component supplier.

7. Risks and falsification tests

The following ledger makes the existing aggregate risk deduction explicit. It does not introduce another deduction or change the analytical score.

Risk class	Existing deduction
Customer-designed silicon and ecosystem competition	-1
Customer credit, support arrangements and concentration	-1
Physical supply, systems execution and input costs	-1
Total	**-3**

Capital, score and watch points

The current 24.285B diluted weighted-average denominator is held flat as a transparent proxy. Future repurchases and employee issuance are not silently netted against one another. Each complete four-quarter OP window is valued at 20x. CFO disclosures distinguish$279B supply/capacity commitments from cloud agreements and guarantees. Customer support can help deployment while increasing credit exposure; it is not all a cash loan or all current revenue. The$105B PORTS-Pike guarantee cap is phased and conditional, with first effectiveness expected in fiscal 2029. Source: NVDA-2.

Track realized product margins, power and hardware acceptance, financed-customer cash conversion, independent compute demand and custom-accelerator economics. For other portfolio names, supplier demand visibility does not remove execution, working-capital or depreciation costs.

Numbered monitoring tests

#	Checkpoint	Evidence supporting the operating case	Counter-test / failure signal
1	Platform conversion	Reconcile product revenue, shipment mix and gross profit to guidance.	Revenue growth driven by expensive inputs alone does not prove greater margin capture.
2	Physical deployment	Cross-check accepted systems with power, memory and packaging availability.	Announced gigawatts without commissioned systems do not establish current sales.
3	Competition	Track customer workloads deployed on alternatives and software migration.	A chip announcement without qualified deployments is not equivalent displacement.
4	Demand quality	Track customer concentration, collections and financing support.	Support-dependent orders with weak customer economics require closer demand scrutiny.

8. Sources, evidence gaps and model snapshot

Sources below are those documented in the supplied earnings review. LOW-confidence product allocations, future margins, capacity bridges and incomplete management-call records remain unresolved where stated. Integrating the original research does not itself establish full Framework 6.0 evidentiary certification.

- **NVDA-1** · 2026-08-26 · Issuer Q2FY27 results. Exact actuals, guidance and 24.285B diluted shares.
- **NVDA-2** · 2026-08-26 · CFO commentary. Reported market-platform totals, restated customer classification and financing commitments.
- **NVDA-3** · 2026-08-26 · Issuer-hosted Q2 management transcript. 70%FY28 growth, 72-73%GM, CPU direction, memory cost and 40B/GW content.
- **NVDA-4** · 2026-05-20 · Issuer-hosted Q1 management transcript. Prior product ramp, networking scale and standalone CPU opportunity.
- **NVDA-5** · 2026-09-03 · NVIDIA agreement to acquire Hugging Face. Announced acquisition and commitment to an open, multi-accelerator platform.
- **NVDA-6** · 2026-08-26 · NVHBM and NVLink Fusion announcement. Custom HBM base-die controller and multi-supplier implementation; Amazon first collaborator.
- **NVDA-7** · 2026-09-01 · Supplied model and artifact - User upload: NVDA_Q_Model; NVDA_NVIDIA_DeepDive.md. Sanctioned 20xOP multiple and retained aggregate long-term revenue/opex assumptions.
- **NVDA-8** · 2026-09-28 · Issuer repurchase authorization. Official release retrieved in full on September 29. Amount authorized and intended execution period; no transaction-level execution forecast.

- **D1** · Muse production X digest, received 2026-09-29. Serenity attribution; mirror https://twiscan.com/en/x/aleabitoreddit. Original timestamp and post URL unavailable; no images supplied.

The unchanged original source document is retained separately for full research provenance. It is an archive, not an additional active valuation case. Superseded score/price target tables are not incorporated into this active artifact.

Model snapshot: October 11, 2026 operating update; earnings anchors and valuation method retained; 15 price target endpoints from Q3 2026 through Q1 2030. Q1 2028 = USD 498.797003 per share. Portfolio Base = 82/100. Category score = 49/60. Forecast evidence and accounting exceptions are stated above.